IN THE CIRCUIT COURT OF THE STATE OF OREGON

FOR THE COUNTY OF WASHINGTON

DEUTSCHE BANK TRUST COMPANY AMERICAS, AS TRUSTEE FOR RESIDENTIAL ACCREDIT LOANS, INC., MORTGAGE ASSET-BACKED PASS-THROUGH CERTIFICATES SERIES 2006-QS14, Plaintiff, v. AGUSTINA L. MONCKTON, GERALD G. MONCKTON, JR.; MORTGAGE ELECTRONIC REGISTRATION SYSTEMS, INC.; MILLENNIA MORTGAGE CORPORATION; TURNING LEAF HOMES LLC; SHADOW WOODS HOMEOWNERS ASSOCIATION; OCCUPANTS OF THE PROPERTY, Defendants.	Case No.: COMPLAINT FOR: 1. JUDICIAL FORECLOSURE OF REAL PROPERTY; and 2. RESCISSION OF RECONVEYANCE & DECLARATORY RELIEF AMOUNT CLAIMED: $231,761.25 PLUS ACCRUED AND ACCRUING INTEREST, COSTS AND FEES ORS 21.160(1) CLAIM NOT SUBJECT TO MANDATORY ARBITRATION

Plaintiff alleges:

I. THE PROPERTY TO BE FORECLOSED

1.

The property that is the subject matter of this action is located at, and commonly known as, 1730 Southwest 203rd Avenue, Aloha, OR 97006 aka 1730 Southwest 203rd Avenue, Aloha, OR 97003, in Washington County, Oregon (the "Property" or "Subject Property"). The legal description for the Subject Property is attached as *Exhibit 1* and is incorporated into this complaint by reference and the APN/Parcel No. is R290991.

II. VENUE AND JURISDICTION

2.

This court has jurisdiction over the parties, and subject matter and venue is appropriate

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because the Property that is the subject of this foreclosure action is located in Washington County, Oregon. The Subject Property is the security under a certain deed of trust (the "Deed of Trust") and note (the "Note") detailed herein. Pursuant to ORS 14.040, ORCP 4 F, and ORCP 5, the Court has venue and jurisdiction over this proceeding for the purposes of the foreclosure.

III. PARTIES

3.

Plaintiff: DEUTSCHE BANK TRUST COMPANY AMERICAS, AS TRUSTEE FOR RESIDENTIAL ACCREDIT LOANS, INC., MORTGAGE ASSET-BACKED PASS-THROUGH CERTIFICATES SERIES 2006-QS14 (the "Plaintiff") is the holder of the Note and beneficiary of corresponding deed of trust described herein.

4.

Borrower/Grantor: Defendants AGUSTINA L. MONCKTON and GERALD G. MONCKTON, JR. are the promissors (the "Borrower") and grantors (the "Grantor") under the Note and Deed of Trust. Grantor is the owner of record, or the rebutted owner of record, of the Subject Property or was at the time of execution of the Note and Deed of Trust.

5.

Defendants with Junior Interests: Defendants MORTGAGE ELECTRONIC REGISTRATION SYSTEMS, INC. ("MERS"); MILLENNIA MORTGAGE CORPORATION ("MMC"); TURNING LEAF HOMES LLC and SHADOW WOODS HOMEOWNERS ASSOCIATION (the "Junior Interest Holders") may claim some interest in Subject Property that is subsequent, subject, and inferior to the interest held by Plaintiff. Plaintiff is seeking to foreclose upon a senior lien and the Junior Interest Holders are named in this complaint solely by virtue of said inferior interest in the Subject Property. Plaintiff is not seeking monetary damages, attorney fees, costs or disbursements against said Junior Interest Holders that do not contest this action. Specifically, the Junior Interest Holders may claim the following interests – listed in order of their apparent priority - in the Subject Property that is/are subsequent, subject, and inferior to Plaintiff's interest:

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a) Defendants MERS and MMC may claim a junior interest in Subject Property by virtue of a deed of trust recorded 08/22/2006 as Instrument No. 2006-100655 in the official records of Washington County, Oregon.

b) Defendant TURNING LEAF HOMES LLC may claim an interest in Subject Property by virtue of a bargain and sale deed recorded 11/17/2014 as Instrument No. 2014-073078 in the official records of Washington County, Oregon.

c) Defendant SHADOW WOODS HOMEOWNERS ASSOCIATION may claim some interest or lien in the Subject Property by virtue of homeowners association covenants, conditions, and restrictions.

6.

Occupants of the Property: OCCUPANTS OF THE PROPERTY are persons residing in the Property or claiming a right to possession in the Property. The Occupants of the Property may claim some interest in the Subject Property that is subsequent, subject, and inferior to Plaintiff's interest.

7.

Parties to the Reconveyance: MERS, as nominee for MMC, executed a Substitution of Trustee and Reconveyance Deed ("Reconveyance") recorded on 11/10/2014 as Instrument No. 2014-071931 purporting to substitute a new trustee and to reconvey the Deed of Trust. A true and correct copy of the Reconveyance is attached as *Exhibit 7.*

IV. NON-MILITARY STATUS OF DEFENDANTS

8.

To the best of Plaintiff's ability and upon information and belief, Plaintiff alleges that no party named herein, is engaged in active military or naval service of the United States as defined in the Servicemember's Civil Relief Act (SCRA), as amended, or is a minor or otherwise incompetent.

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V. STATEMENT OF FACTS

9.

On or about 07/21/2006, Borrower signed the Note in exchange for valuable consideration. A true and correct copy of the Note is attached as *Exhibit 2 (redacted as to personally identifying information)*.

10.

To secure payment and performance of the Note, the Borrower also executed and delivered for valuable consideration the Deed of Trust on the Subject Property. The Deed of Trust created a valid and subsisting first lien upon the Subject Property.

11.

The Deed of Trust was recorded on 08/22/2006 as Instrument No. 2006-100654 in the official records of Washington County, Oregon. A true and correct copy of the Deed of Trust is attached as *Exhibit 3 (redacted as to personally identifying information)*.

12.

Thereafter, for valuable consideration and before maturity, the Note was indorsed and delivered to Plaintiff together with the Deed of Trust.

13.

Since that time, Plaintiff has been the holder of the Note and beneficiary of the corresponding Deed of Trust (together, the "Loan") and the proper party to enforce the Loan.

14.

The assignment of the Deed of Trust to Plaintiff was recorded on 04/22/2013 as Instrument No. 2013-036028 in the official records of Washington County, Oregon ("Assignment of Deed of Trust"). A true and correct copy of the Assignment of Deed of Trust is attached as *Exhibit 4 (redacted as to personally identifying information)*.

15.

On 03/08/2011, Borrower filed for protection under the United States Bankruptcy Code. Thereafter, the Bankruptcy Stay was terminated pursuant to 11 U.S.C. § 362(c)(2). This

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foreclosure suit is not an attempt to collect a debt against said Defendant but rather an action to execute upon the Property, because the consensual lien survived the bankruptcy and remains enforceable. See In re Cortez, 191 B.R. 174, 177 (BAP 9th Cir. 1995) (citing Dewsnup v. Timm, 502 U.S. 410, 418 (1992)).

VI. CLAIM FOR RELIEF: JUDICIAL FORECLOSURE

16.

Borrower is in breach under the terms of the Loan by failing to make payments as agreed. Monthly installments of principal and interest due 08/01/2012 through present are now delinquent and unpaid. A demand letter, dated 05/05/2016, was delivered to the Borrower in accordance with the terms of the Loan. A true and correct copy is attached as *Exhibit 5 (redacted as to personally identifying information)*.

17.

Therefore, the Loan is in default. Under the provisions of the Loan, Plaintiff declares the entire balance of principal and interest now due and payable.

18.

Pursuant to ORS 86.705 - 86.797, Plaintiff requested a pre-foreclosure Dispute Resolution Conference and Grantor did not appear, and Plaintiff was issued a Certificate of Compliance. A true and correct copy of the Certificate of Compliance is attached as *Exhibit 6 (redacted as to personally identifying information)*.

19.

The Note and Deed of Trust provide that Plaintiff is entitled to recover reasonable attorney fees and necessary costs incurred in enforcing the note and foreclosing the deed of trust.

20.

The following sums are now due and owing to Plaintiff:

(a) Unpaid Principal Balance: $231,761.25;

(b) Interest: Interest accruing as provided by the terms of the Note, accruing currently at the Note rate of 7.750% per annum. As of 01/26/2018 the interest due is $100,018.38;

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(c) Other Amounts Due Under Terms of the Loan: Pursuant to the terms of the Loan, Plaintiff is entitled to judgment for the following additional recoverable amounts: amounts advanced for escrow, taxes, assessments, municipal and utility charges, late fees, loan fees, prior and current foreclosure expenses, property preservation or valuation expenses, insurance and repairs necessary to prevent impairment of the security, and other items which may constitute liens on the Property.

(d) As of 1/26/2018, the amount due is $358,777.82. In addition, the total judgment may include reasonable attorney's fees and costs pursuant to ORCP 68.

21.

Pursuant to the terms of the Loan, Plaintiff is entitled to an order and judgment authorizing the sale of the Subject Property and permitting Plaintiff to bid all or part of its judgment at the foreclosure sale, with the proceeds to be first applied toward the costs of sale, then toward satisfaction of Plaintiff's judgment and any surplus proceeds thereafter to be disbursed to the party or parties who may establish their rights thereto.

22.

To the best of Plaintiff's knowledge, the Deed of Trust is a Residential Trust Deed as defined by ORS 86.705(6), and, pursuant to ORS 86.797(2), Plaintiff does not intend to execute upon any deficient sums remaining due on the judgment after a Sheriff's Sale of the Subject Property. Plaintiff will amend its Complaint and allege that the Deed of Trust is not a Residential Trust Deed, and that Plaintiff is entitled to execute upon any deficiency under ORS 86.797(3), should Plaintiff come into possession of evidence that suggests the same.

23.

Plaintiff further seeks judgment that its Deed of Trust is a valid lien against the Subject Property and that its lien is superior to any interest, lien, right, title, or claim of the Defendants in the Subject Property.

24.

Other than those detailed herein, Plaintiff knows of no other matters pending in this or

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any other state regarding the Note or Deed of Trust.

25.

Plaintiff has no adequate remedy at law.

VII. CLAIM FOR RELIEF: RESCISSION OF RECONVEYANCE & DECLARATORY RELIEF

26.

Plaintiff realleges and reincorporates paragraphs 1 through 25.

27.

Plaintiff seeks the rescission of the Reconveyance and a declaration from the Court that the Reconveyance is void and has no effect as to the Deed of Trust.

28.

On 11/4/2014, MERS, as nominee for MMC, executed the Reconveyance which purported to appoint a new trustee of the Deed of Trust and reconvey the Deed of Trust.

29.

The purported appointment and direction was invalid as MERS, as nominee for MMC, had already assigned any interest it held in the Deed of Trust to Plaintiff by virtue of the Assignment of the Deed of Trust. (*See* ¶ 14, *supra*.)

30.

With neither MERS nor MMC having any legal authority to appoint a new trustee or reconvey the Deed of Trust, the Reconveyance should be rescinded and a declaration given that the Reconveyance had no effect as to the priority or status of the Deed of Trust.

VIII. PRAYER FOR RELIEF

31.

WHEREFORE, Plaintiff prays for a judgment of this court as follows:

(a) Granting judgment to Plaintiff in the amount of $231,761.25 as the unpaid principal balance; plus interest accruing as provided by the terms of the Note; plus other recoverable amounts due under the terms of the Loan or advanced for escrow, taxes,

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assessments, municipal and utility charges, late fees, loan fees, prior foreclosure expenses, property preservation or valuation expenses, insurance and repairs necessary to prevent impairment of the security, and other items which may constitute liens on the Subject Property; less any other applicable credits or suspense balance; plus reasonable attorney fees as submitted by counsel; and, plus Plaintiff's costs and disbursements, collectively referred to as the "Amount Due".

(b) Rescinding the Reconveyance and declaring that the Reconveyance had no effect as to the priority or status of the Deed of Trust.

(c) Declaring that the Deed of Trust being foreclosed is a valid lien against the Subject Property above described, and declaring this lien to be superior to any interest, lien, right, title, or claim of the Defendants or any of them in the Subject Property.

(d) Foreclosing Plaintiff's Deed of Trust lien and ordering the sale of the Subject Property described above by the Sheriff of Washington County in the manner prescribed by law.

(e) Granting that the Plaintiff and any Defendant with a right thereto may be permitted to become a bidder and purchaser at the foreclosure sale.

(f) Applying the proceeds received first toward the costs of sale, then toward satisfaction of Plaintiff's judgment; and any surplus proceeds thereafter to be disbursed to the party or parties who may establish their right thereto.

(g) Adjudging that each defendant and all persons claiming under each defendant, after execution of the Deed of Trust, whether as a lien claimant, judgment creditor, claimant under a junior trust deed, purchaser, lien holder, or otherwise be barred and foreclosed from all rights, claims, interests or equity of redemption in the Subject Property and every part of the Subject Property when the time for redemption has elapsed.

(h) Granting an Order directing the Sheriff, after the time for redemption has elapsed, to execute a deed to the purchaser of the Subject Property at the sale or their successor and assigns.

(i) The purchaser of the Subject Property at the Sheriff Sale is entitled to immediate

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possession of the Subject Property and if the Subject Property is not vacated by such time that the Court order that a writ of assistance be issued ordering the Sheriff to deliver possession of the Subject Property to the purchaser forthwith.

(j) Declaring that Plaintiff will not be entitled to monetary damages, attorney fees, costs, or disbursements against any Junior Interest Holder that does not contest this action.

(k) Granting any other further relief as the court may deem just and equitable.

Dated: 1/10/18

McCarthy & Holthus, LLP

s/ Robert B. Hakari

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